Unit-II

Beginning considerations: Creativity and developing business ideas; Opportunity recognition and opportunity assessment; Creating and starting a venture; Building competitive advantage; Legal issues.

Creativity and Innovation

1. Describe why creativity and innovation are such integral parts of entrepreneurship.
2. How can entrepreneurs enhance the creativity of their employees as well as of their own?

Importance of Creativity for an Entrepreneur

Creativity is the ability to develop new ideas and to discover new ways of looking at problems and opportunities. Creative thinking is a core business skill for the entrepreneurs. Entrepreneurs achieve success (or gain competitive edge over rivals) by creating new and valuable ideas, products, services, and business models that solve some problem people face or satisfy a need. Entrepreneurs can create value by:

1. inventing new products and services.
2. developing new technology.
3. creating new business models.
4. discovering new knowledge.
5. improving existing products or services.
6. finding different ways of providing more goods and services with fewer resources.

While creativity means thinking new things, **innovation** means doing new things. Simply having a great new idea is not enough; transforming the idea into a product, service, or business venture is the essential next step. Transforming their organizations into engines of innovation requires entrepreneurs to give up self-limiting assumptions, outdated beliefs, and behaviors; and learn to look at the world in new and different ways. Innovation can either be revolutionary (market-changing, transformational, disruptive breakthrough or evolutionary (developing market-sustaining ideas that improve on existing products, services, and processes by putting old things together in new ways). Revolutionary innovations that produce disruptive changes is usually highly profitable. Moreover, innovation is necessary for general growth and prosperity at the level of economy.

There are various **levels/types/degrees of innovation** depending on the uniqueness of the idea. Figure 4.2 shows three major types of innovation, in decreasing order of uniqueness:

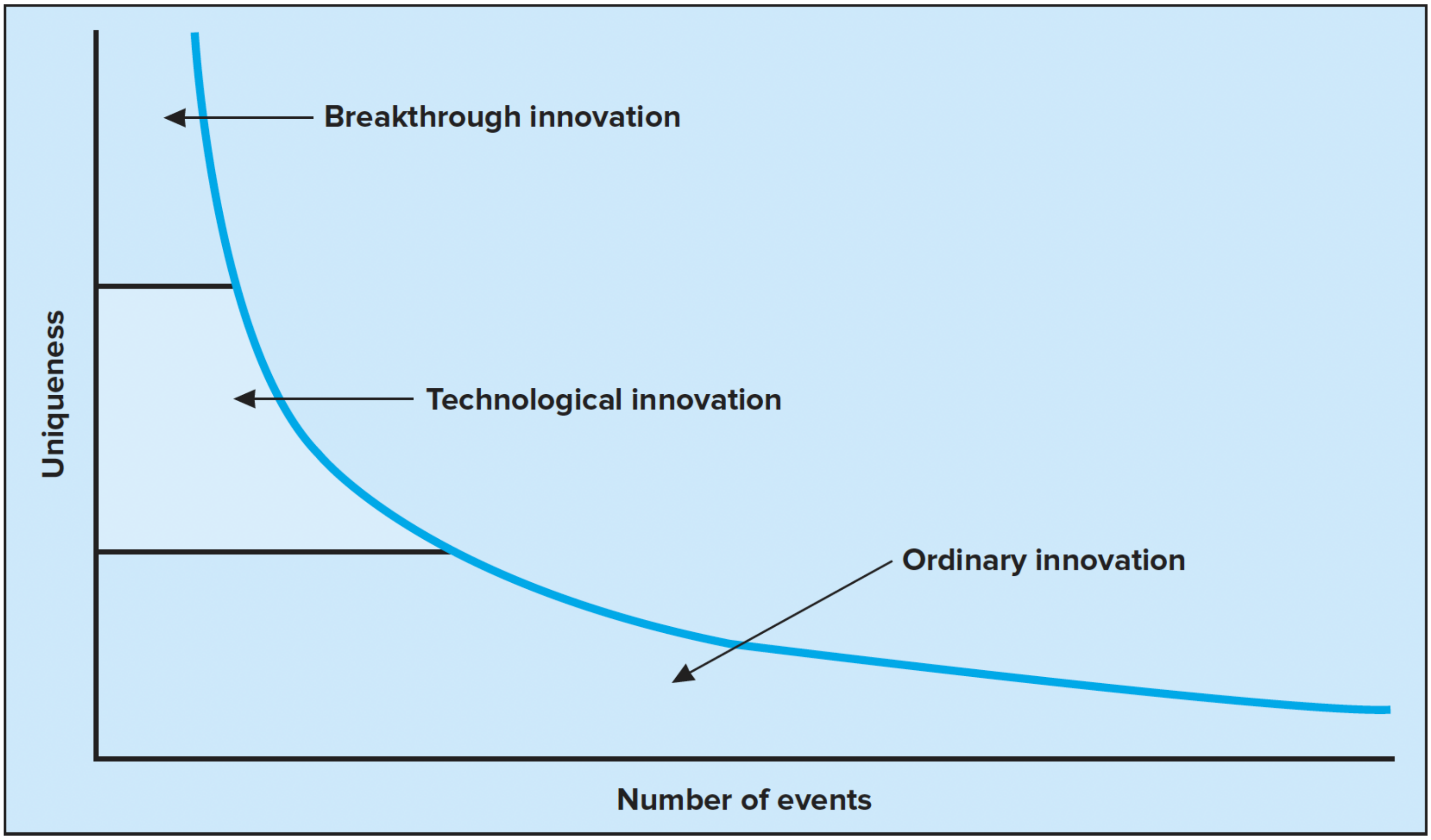
1. Breakthrough innovation
   The fewest innovations are of the breakthrough type. Given that they are often the basis for further innovation in an area, these innovations are usually protected by strong patents, trade secrets, and/or copyrights. Examples are penicillin, the steam engine, the computer, the airplane, the automobile, the Internet, and nanotechnology.
2. Technological innovation

This type of innovation occurs more frequently than breakthrough innovation and is relatively at a lower level of scientific discovery and progress. These are still meaningful as they provide advancements in the product/service.

3. Ordinary innovation

   This innovation is the one that occurs most frequently. These extend an existing innovation into a better product or service with better market appeal. These innovations usually come from market analysis and pull, not the technology push.

FIGURE 4.2 Innovation Chart



Successful entrepreneurs need creativity and innovation because:

1. In a fast-changing world, creativity and innovation provide the necessary sustainable competitive advantage and thus is vital for company's success and ultimate survival, Companies that fail to innovate boldly and quickly soon become obsolete due to competition. This is true for businesses in every industry and for companies of all sizes.
2. Although big businesses develop many new ideas, creativity and innovation characterize the small businesses. Creativity and innovation are key ability of small companies' that allows them to compete successfully with their larger rivals. Since small companies cannot outspend their larger rivals, small companies need to create powerful, effective competitive advantages over big companies by "out-creating" and "out-innovating" them! Failing to do so means that the small entrepreneurs can't stay in business very long.

3. Innovation is required in more just the company's products or services. Companies that do not update their business models lose their relevance in the marketplace, putting them at a competitive disadvantage. In other words, to be successful, business leaders must innovate their business models as well as in their products.

Barriers to (individual) Creativity

1. Searching for one right answer. Educational system teaches us to look for one right answer thus killing possibility of many right answers which is required for creativity.
2. Focus on being logical. This does not allow people to be imaginative.
3. Blindly following the rules. This does not let people to think out of the box.
4. Constantly being practical.
5. Viewing fun/laughter/play as wasteful.
6. Becoming over specialized/experts in a limited domain. This leads to myopic thinking.
7. Avoiding ambiguity. This makes people demand too much details thus not allowing imagination.
8. Fearing looking foolish.
9. Fearing mistakes and failures.
10. Believing that "I am not creative".

How to Enhance Creativity

The following steps by the entrepreneur enhance the creative and innovative potential of an organization:

1. Include creativity as a core company value and make it an integral part of the company's culture.
2. Ignite passion/model creative behavior by being creative oneself.
3. Hire creative people and reward creativity.
4. Have a workforce from diverse backgrounds and expertise to provide diverse perspectives.
5. Establish an organizational structure that encourages interactions among employees of all levels.
6. Put across an expectation of creativity from employees.
7. Encourage failures.
8. Work environment should be fun and colorful work space designed for interactions.
9. Encourage curiosity and out of box thinking.
10. Provide training for creativity.
11. Eliminate bureaucratic red tape and provide autonomy.
12. Develop process of capturing ideas.
13. Listen to customers for inputs on changes in products and services.

Following techniques can enhance the creativity of an individual:

1. Allow yourself to be creative i.e. believe that you are creative.
2. Forget the "rules"
3. Give your mind fresh input every day. Do something different each day.
4. Take up a hobby.
5. Travel and observe.
6. Collaborate with other people from different backgrounds.
7. Observe the products and services of other companies, especially those in completely

8. Different markets.
9. Recognize the creative power of mistakes and accidents.
10. Do not throw away seemingly “bad” ideas.
11. Be positive.
12. Notice what is missing.
13. Periodically ask yourself, “am i asking the right questions?” This is called metacognition.
14. Keep a journal handy to record your thoughts and ideas.
15. Listen to other people.
16. Talk to a child.

Methods for generating ideas/improving creativity/creative problem solving

1. **Brainstorming**.
   Brainstorming is an informal process in which a small group of people (usually six to eight members) interact freely, with the goal of producing a large quantity of new and imaginative ideas. No idea is judged or criticized. As group members interact, a chain reaction of ideas begins. Some ideas may be impractical but those impractical ideas may lead to a breakthrough idea. To get the most out of brainstorming sessions, following steps are recommended:
   a. focuses on a specific product or market.
   b. no criticism or negative comment or judgment is allowed.
   c. throw logic out (the wilder the idea, the better). allow unreasonable ideas.
   d. group should be as diverse as possible.
   e. focus on quantity of ideas than quality since the greater the number of ideas, the greater the chances of useful ideas.
   f. using and improving ideas of other members is encouraged to produce still another new idea.
   g. brainstorming session should be fun.
   h. seating pattern should be interactive like circular or U-shaped.
   i. session time should be just 40-60 minutes.
2. **Reverse brainstorming.**
   Reverse brainstorming is like brainstorming, except that criticism is allowed. Reverse brainstorming almost always produces something worthwhile as it is easier for an individual to be critical about an idea than to come up with a new idea himself.
3. **Brainwriting.**
   Brainwriting is a form of written brainstorming. It is a silent, written generation of ideas by a group of people. The participants write their ideas and circulate in the group.
4. **Focus groups.**
   A focus group is a structure meeting in which a moderator leads a group of people (8-14 participants) in an open, in-depth (either directed or non-directed) discussion in which moderator asks for response from participants. The discussion is stimulated by comments from each other and aims for creatively developing a new product/service idea to fill a market need.
5. **Mind mapping.**
   Mind mapping is a graphical technique that encourages creative thinking of an individual by visually displaying the various relationships among ideas and improving the ability to view a problem from multiple sides. It works in the following manner:

Start by writing down or sketching a picture (that symbolizes the problem) in the center of a large blank page.

a. Write down every idea that comes into your mind, connecting each idea to the central picture.
b. Use key words and symbols to record ideas in shorthand.
c. If you see a connection between a new idea and one already on the paper, connect them with a line. If not, simply connect the idea to the center symbol.
d. Use colored pens and markers to connect ideas with similar themes.
e. Allow your mind to rest for a few minutes and then begin to integrate the ideas on the page into a mind map. As you organize your thoughts, look for new connections among your ideas.
f. Walking away from the mind map and the problem for a few minutes or a few hours may lead to several new ideas or to new relationships among ideas when you return.

6. **Force field analysis.**

Force-field analysis is a useful technique for evaluating the advantages and the disadvantages of a particular decision and work required to maximize supporting variables and minimize obstructing variables. The analysis helps entrepreneurs judge the practicality of a new idea, identify resources required, recognize obstacles and ways to overcome those obstacles, to implement the idea. It works in the following manner:

a. The group process begins by making three columns and listing the problem to be addressed in the center column. In the left column, the group lists forces that support the issue. In the right column, the group lists the forces that restrain the company from implementing the idea.
b. Once the group has identified a reasonable number of supporting and restraining forces (4 to 10 is typical), the next task is to assign a numerical value that reflects the strength of that force. Scores range from 1 (weak) to 4 (strong).
c. Adding the scores for the supporting forces column and the restraining forces column shows which set of forces dominates the issue. The higher the difference in total score of supporting and restraining columns, the more feasible is the idea.
d. If the decision is a "go," the group can focus on ideas to create new supporting forces, strengthen existing supporting forces, and minimize the impact of restraining forces.

7. **Problem inventory analysis.**

Problem inventory analysis uses individuals like in focus groups to generate new product ideas. However, the individuals here are consumers who are provided with a list of problems in a product category. They are then asked to list and discuss products in this category that have a particular problem. This method often helps to arrive at a new product idea.

8. **Collective notebook method.**

In the collective notebook method, a small pocket notebook (containing a statement of the problem, blank pages, and any necessary background data) is distributed among one or many participants. Participants consider the problem and its possible solutions, recording ideas at least once, but preferably three times a day. At the end of a week, a list of the best ideas is developed, along with any suggestions. This technique can also be used with a group of individuals who each record their ideas, giving their notebooks to a central coordinator who summarizes all the material and lists most frequently mentioned ideas. The summary becomes the topic of a final creative focus group discussion by the group participants.

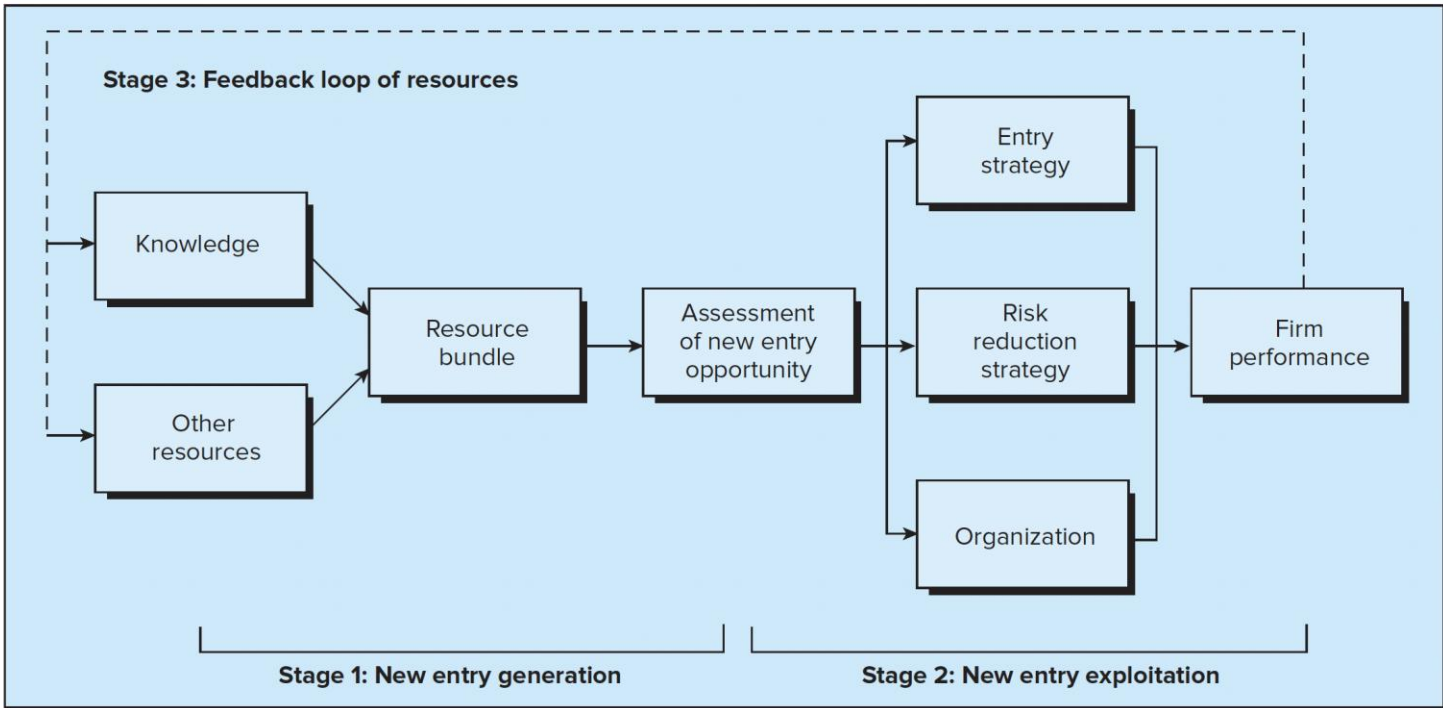
Definition of New Entry/Opportunity

Most essential act of entrepreneurship is a new entry. **New entry** refers to:

1. offering a new product to an existing or a new market
2. offering an existing product to a new market
3. creating a new organization (the product or the market may or may not be new)

Entrepreneurial strategy refers to the set of decisions and actions that **generate** and **exploit** a new entry in a way that benefits are maximized and costs are minimized.

FIGURE 3.1 Entrepreneurial Strategy: The Generation and Exploitation of New Entry Opportunities



The feedback loop (in the figure) is very important because the long-run performance of entrepreneur depends on generation and exploitation of subsequent new entries. Subsequent new entry opportunities may arise during exploitation of the current opportunity. If a firm relies only on one new entry, then the organization may become obsolete as soon as the product becomes obsolete.

New Opportunity Generation

One of the best opportunities for starting a new venture are provided by the ongoing trend, especially when the entrepreneur acts at the beginning (of a long-lasting trend). Some of the ongoing trends are:

1. Wearables for example smart watches.
2. Green (energy efficient/good for environment) appliances and automobiles.
3. Digital payments systems and apps.
4. Mobiles (replacing laptops).
5. Online gaming.

6. Health products.
7. Internet.

An entrepreneur could also gather new ideas from the following sources:

1. Consumers (needs and problems).
2. Existing products and services (to improve on them).
3. Distribution channels like retailers (for suggestions on product improvement and marketing)
4. Government policies (upcoming regulations and shifting focus for example towards electric vehicles).
5. Research and Development.

Generation of a new entry by a firm requires it to possess a resource bundle (including knowledge and other resources) that is valuable, rare, and difficult for others to imitate. A firm's resources are simply the inputs into the production, such as machinery, financial capital, organizational culture, and skilled employees. A bundle (or combination) of resources is:

- Valuable if it enables the firm to pursue opportunities, neutralize threats, and offer valued products.
- Rare if it is possessed by none or very few of the competitors.
- Inimitable if duplication of this combination of resources is difficult or costly for competitors.

One characteristic of the entrepreneurship is the ability to obtain and combine such a resource bundle/pool. This ability arises from the knowledge and experience of the entrepreneur, and the collective knowledge base of management and employees. This prior knowledge is a result of a combination of education and variety of experiences including work related as well as personal. This knowledge could be:

1. Market knowledge.

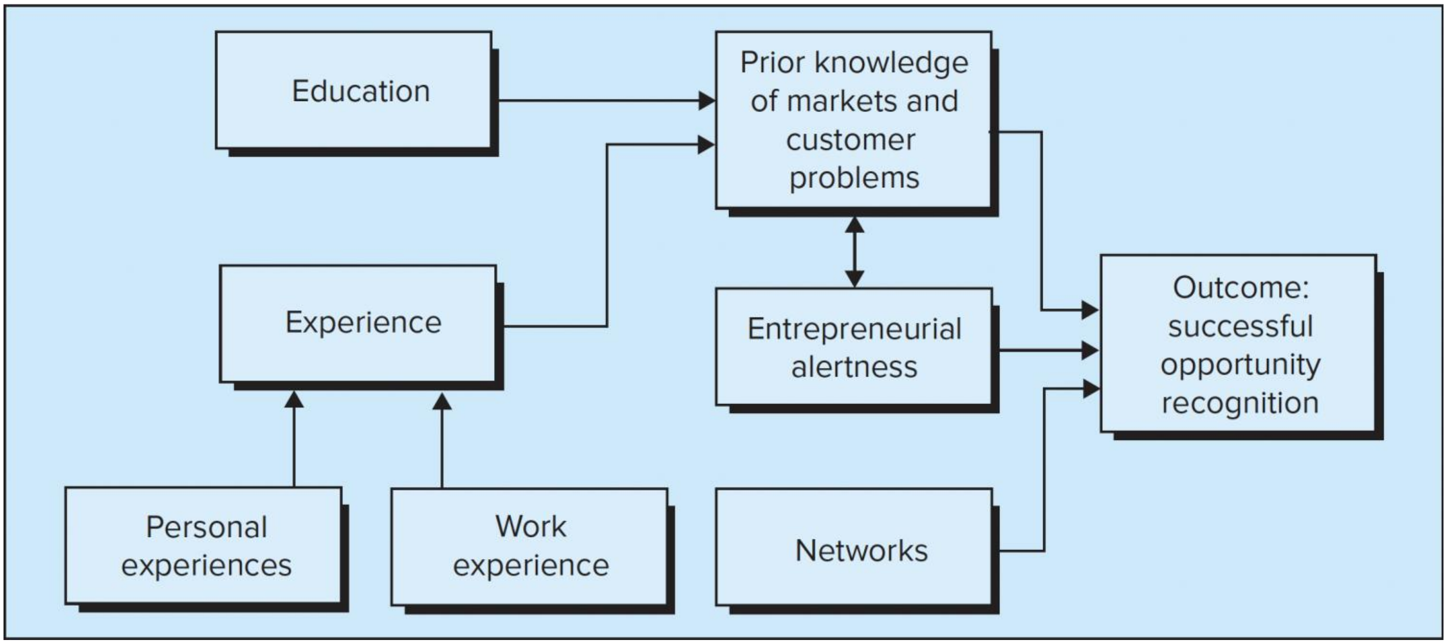
   Market knowledge refers to information, technology and skills that gives insight into a market and its customers. The entrepreneur needs to have a deeper understanding (not possible through just market research) of the problems that customers have with the existing products, to bring together resources that could provide a solution to problems faced by customers. Without this deeper knowledge, the entrepreneur cannot recognize or create new opportunities/products/markets.
2. Technological knowledge.

   Technological knowledge refers to information, technology, and skills that give insight into ways to create new knowledge. This technological knowledge might lead to a technology innovation that becomes the basis for a new entry (new application), even when its market is not obvious.

Opportunity Recognition

An opportunity represents a possibility to successfully fill an unsatisfied need and generate enough sales and profits. Entrepreneurs need the ability to recognize a business opportunity. Those entrepreneurs who can recognize meaningful business opportunities are in a strategic position to successfully complete the product planning and development process and successfully launch new ventures. One model for opportunity recognition process is given in Figure 4.5.

FIGURE 4.5 A Model of the Opportunity Recognition Process



Recognizing an opportunity results from the following:

1. knowledge and experience of the entrepreneur.
2. entrepreneurial alertness.
3. entrepreneurial networks (with other complementary firms etc.)

Opportunity Assessment Plan

One way to evaluate the worth of a new opportunity is through developing an opportunity assessment plan. Compared to an elaborate business plan, an opportunity assessment plan is

1. Is shorter in length.
2. Focuses on the opportunity and not the venture.
3. Forms the basis for the decision to either act on an opportunity or wait for a better opportunity in future.

An opportunity assessment plan consists of four sections—two major sections and two minor sections.

The **first** major section discusses the product/service idea, analyzes the competitive products and companies; and identifies the uniqueness of the idea. This section includes:

1. A description of the product or service.
2. The market's need for the product or service.
3. The specific aspects of the product or service.
4. The competitive products presently available filling this need and their features and prices.
5. The companies that are existing in this product/service market space.
6. The unique selling propositions of this product/service.

The **second** major section of the opportunity assessment plan focuses on the market. It includes:

1. The size, trends, and characteristics of the domestic and/or international market.
2. The growth rate of the market.
3. The market need that is filled, social condition underlining the need and any data available to describe this market need.

The **third** section (a minor one) focuses on the match or the lack between the background, skills and experiences of the entrepreneur and the management team on the one hand and the requirements of the opportunity/product idea on the other. The lack implies the need for additional human resources.

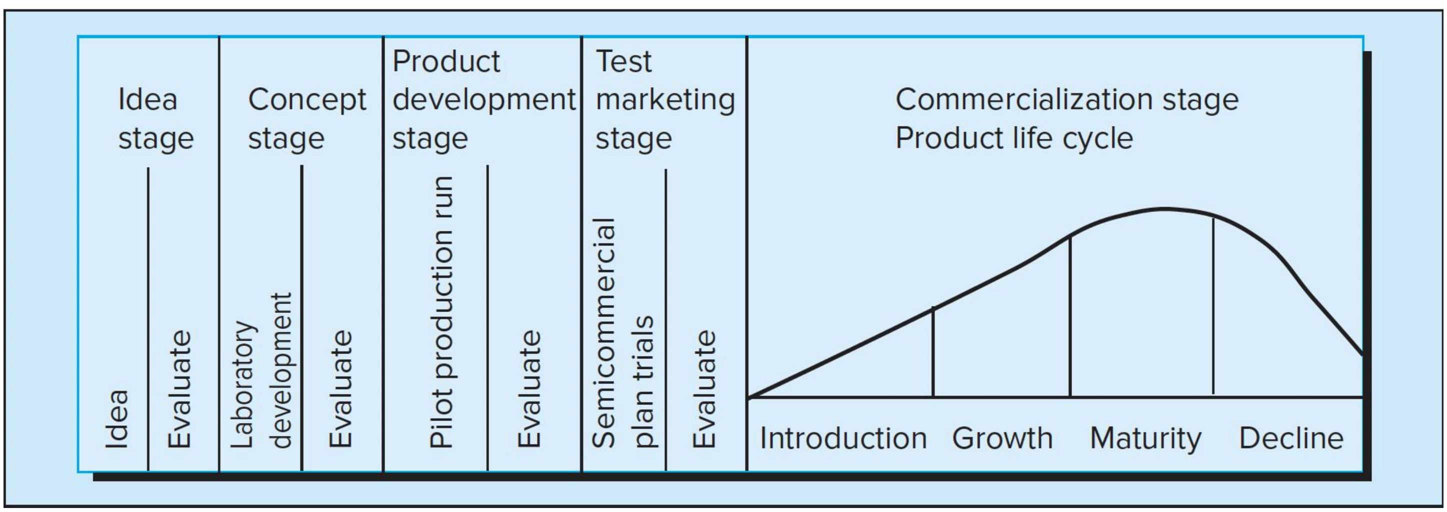
The **final** (minor) section of the opportunity assessment plan develops a time line listing out the steps needed to be taken to successfully launch the venture by translating the idea into a viable business. This section focuses on:

1. Identifying each step.
2. Determining the sequence of the steps.
3. Identifying what will be accomplished in each step.
4. Determining the time and money required at each step.
5. Determining the total amount of time and money needed.
6. Identifying the source of this needed money.

Product Planning and Development Process

Once ideas emerge, they need to be developed and refined. This refining process (also known as the product planning and development process) is divided into five major stages as shown in the figure. Evaluation is done at the end of each stage before the product is commercially launched.

FIGURE 4.6 The Product Planning and Development Process



1. Idea stage.
   This is the first stage in product development process. In this stage, the promising new product/service ideas are identified and impractical ones are discarded, allowing maximum use of the company's resources. One evaluation method to successfully used in this stage is the market evaluation checklist, where each new idea is expressed in terms of its main values, merits, and benefits. Then consumers are

presented with group of potential new products/services. Their feedback helps select viable options and discard not so promising ones. The selected ideas need to be evaluated both in terms of needs of customers and benefits to entrepreneur or firm.

2. Concept stage.
   After a new product/service idea has passed the idea stage evaluation, it should be further developed and refined in the concept stage through interaction with consumers. In this stage, the refined idea is tested for consumer acceptance. Initial reactions to the concept are obtained from potential customers or distributors. One method of measuring consumer acceptance is the conversational interview in which respondents are shared with statements on the physical attributes of the product/service idea. Favorable and unfavorable product features can be discovered from consumers' responses, with the favorable features then incorporated into the new product/service. Features, price, and promotion strategies are also evaluated in the concept stage through feedback from distributors.
3. Product development stage.
   In the product development stage, consumer reaction to the physical product/service is determined. One tool frequently used in this stage is the consumer panel, in which a group of potential consumers are shared product samples. Participants keep a record of their use and comment on its virtues and deficiencies. The panel of potential customers can also be given a sample of the product and one or more competitive products simultaneously, to determine consumer preference.
4. Test marketing stage.
   The market test in this last step provides actual sales results, which indicate the acceptance level of consumers and degree of probability of the product launch.
5. Commercialization stage.
   At the stage the final product is launched in the market with pre decided marketing strategies and the product life cycle begins.

New Entry Exploitation

If a new entry is assessed to be sufficiently attractive, then its successful exploitation by the entrepreneur/firm (or firm performance) depends on the following:

1. entry strategy
2. risk reduction strategy
3. organization of the firm
4. the competence of entrepreneur, management team, and the firm.

We discuss the entry and risk reduction strategy for new entry exploitation below.

Entry strategy

The entry strategy of the entrepreneur would depend on the relative advantages and disadvantages of moving first. The first mover has the following advantages (first five are detailed under "sources of competitive advantage" further in the notes):

1. Cost advantage.
2. Less competition.
3. Best supply and distribution channels.

4. Best market position.
5. Experience gained from market participation.
6. Lead time providing Entry barriers.

Lead time is the grace period in which the first mover operates in the industry without much competition. This allows the firm to best prepare for more competition or create barriers for entrants in the following ways:

1. building customer loyalty (when customers recognize the industry with the first mover) so that it becomes more costly for competitors to enter the market and take the first mover's customers.
2. by using marketing to influence minds of customers so that they begin associating quality with the first mover's products in which he has a competitive advantage.
3. building switching costs (Switching costs are the costs that must be borne by customers if they stop purchasing from current supplier and begin purchasing from another) through reward programs such as frequent flyer points with a particular airline.
4. Protecting product uniqueness. If the uniqueness of the product is a source of competitive advantage, then first mover needs to take actions to maintain that uniqueness. Intellectual property protection can take the form of patents, copyrights, trademarks, and trade secrets.
5. Securing exclusive access to (relationships with) important sources of supply and distribution channels, forcing entrants to use less attractive alternatives or develop their own.

Risk reduction strategy

The risk of loss partly arises from the uncertainties of market demand, technological development, and the actions of competitors. The following strategies can be used by the entrepreneur for risk reduction:

1. Narrow-Scope Strategy. A narrow-scope (Here scope means a choice about which customer groups to serve and how to serve them) strategy offers a customized high-quality highly-profitable niche-product range to a small number of customer groups through localized business operations to satisfy a particular need. A narrow-scope strategy of product differentiation reduces competition with the larger established firms (which are into mass production and focus on revenues from volume) and allows the entrepreneur to charge premium prices and earn a higher rate of profit. Moreover, by focusing on a specific group of customers, the entrepreneur can build up specialized expertise and knowledge that provide an advantage over companies that compete more broadly. Having a narrow-scope strategy however is like putting all your eggs in one basket. Although a narrow-scope strategy can reduce the risks of competition, this strategy is vulnerable to another type of risk, the risk that market demand does not turn out to be as expected and/or changes over time or subsidiary of large firm also enters the market (pulled in by high profit opportunity).
2. Broad-Scope Strategy. A broad-scope strategy is the diversification approach to deal with uncertainties about the market demand. By offering a range of products across many different market segments, the entrepreneur can gain an understanding (through trial and error) of most profitable products and segments. Unsuccessful products (and market segments) can then be dropped and resources can be concentrated on the few. The entrepreneur's ultimate strategy will emerge from the information provided by this learning process. In contrast, a narrow-scope strategy requires the entrepreneur to have sufficient certainty about the market that he or she is willing to focus his or her resources on a small piece of the market, with few fallback options in case of error with the initial assessment. However, a broad-scope strategy is opening the firm up to many different "fronts" of competition since

it is offering a large range of products. The entrepreneur may need to compete with the more specialized firms within specific market niches and simultaneously with volume producers in the mass market. Therefore, while a narrow-scope strategy offers a way of reducing some competition-related risks but increases the risks of market uncertainties, the broad scope strategy offers a way of reducing risks of market uncertainties but faces increased competition. The entrepreneur needs to make a choice depending on which risk is more important to avoid for him.

3. Imitation strategy. Imitation means to Copy the practices of other firms, either in the industry being entered or from related industries. This strategy can minimize the risk of loss associated with new entry. Although against creativity, imitation strategy can enhance firm profits because the firm may not have a (valuable, rare, and inimitable) resource pool to successfully exploit new entry. Imitating the practices of established successful firms can help the entrepreneur quickly acquire the skills necessary to be successful in the industry without needing to develop these skills from scratch in a systematic and expensive manner. Imitation of organization of well-established firm is also a means of gaining status and prestige among customers. An example of imitation strategy is a “me-too” strategy that introduces just a minor variation of an existing product or locate next to an existing business.

Creating and starting a Venture

1. What is a Business Plan?
2. What is the importance of (need for) making an effective business plan for the entrepreneur?
3. How do lenders and investors evaluate a business plan?
4. What are the elements of a (typical, good, solid) business plan?

Meaning of a business plan

A business plan is a planning tool that is the foundation of the opportunity assessment, feasibility analysis, and business model. It is a written summary of an entrepreneur's proposed business venture, its operational and financial details, its marketing opportunities and strategy, and its managers' skills and abilities. A business plan describes the goals for a company and how it intends to get there. It captures a full picture of the business model and all the planning and preparation an entrepreneur undertakes when starting a business. The plan is written proof that an entrepreneur has performed the necessary research and studied the business opportunity adequately. Most potential investors and lenders insist on a business plan as necessary when considering funding a venture as it is their first impression of the company and its managers.

Tests of a business plan

A business plan needs to pass following three tests with potential lenders and investors:

1. Reality test.

   Entrepreneur(s) need to prove through evidence (of feedback from real customers) in the marketing portion of their business plans that there is strong demand for their business idea, thereby establishing the viability of their idea. Moreover, the entrepreneur(s) need to validate the cost estimates in the business plan, establish that the product is truly different from that of competitors and offers some value to customers.
2. Competitive test.

   The internal competitive test focuses on management's ability to create a company that will gain an edge over existing rivals.
   a. Company through its business plan needs to prove the quality, skill, and experience of the venture's management team and other specialized resources they have.
   b. the company needs to self-assess its strength and weaknesses relative to its key competitors. Successful entrepreneurs carefully and honestly evaluate the strength of their product ideas. They need to ask the following questions from themselves:
      i. Who is our target market?
      ii. What options currently exist for this target market?
      iii. What do/will we offer the target market?
      iv. What is the key problem it solves?
      v. Why is it better than other options from which customers can choose?
      vi. Can we successfully protect our intellectual property?
3. Value test.

   To convince lenders and investors, a business plan must prove to them that it offers a high probability of repayment of their money and an attractive rate of return on that money.

Benefits of making a business plan

A business plan serves following two essential purposes for the entrepreneur:

1. While making a business plan, entrepreneurs learn about their industry, target customers, financial requirements, competition etc. which is essential for the success of their venture.
2. It provides a battery of tools—a mission statement, goals, objectives, budgets, financial forecasts, marketing plans, and entry strategies—to help entrepreneurs subject their ideas to the test of reality before launching a business. It may be possible that, after preparing the business plan, the entrepreneur realizes that the obstacles to goals cannot be overcome. The venture then may be terminated while still on paper, saving time and money.
3. It provides guidance to the entrepreneur in organizing his or her planning activities. A good business plan also helps an entrepreneur lead the company successfully through the challenging start-up phase. It serves as benchmark to evaluate the progress of the business as it grows.
4. Building a sound business plan is one controllable factor that can reduce the risk and uncertainty of launching a company.
5. It serves as an important tool in helping to obtain financing as a sound plan attracts lenders and investors. A business plan must demonstrate to potential lenders and investors that the venture will be able to repay loans and produce an attractive rate of return. Investors want proof that an entrepreneur has realistically evaluated the risk involved in the new venture and has a strategy for addressing that risk.
6. The business plan is highly valuable to the new personnel joining the company.
7. Customers wish to understand the value that the new product offers to them before making long term commitments such as in high-tech telecommunications systems.
8. Suppliers may want to see a business plan before signing a contract to produce either components or finished products or even to supply large quantities of materials on consignment.

Information requirements of a business plan

Before making an elaborate business plan, an entrepreneur needs to do a feasibility analysis of the marketing, finance, and production aspects of the business concept. This is needed to ensure that there are no barriers to achieve the goals and objectives of the venture. It is important that the goals are well defined and feasible (reasonable). The entrepreneur needs the following kind of information:

1. Market information

    The entrepreneur first needs to first define the target market (customer group based on class, gender, age, location etc.). Projection can be made once the target market is well defined. The entrepreneur needs to know the size of the market and its growth potential. To build a successful marketing plan with reasonable goals, the entrepreneur needs to research the market. A recommended method is to use the inverted pyramid approach with general economic environment (at the national level on the top (covering household average income trends, demographic changes, employment levels, trends in product consumption habits) and narrowing down to relevant industry at the national level (data on the aggregate sales of players in the industry, regulatory environment etc.) and further narrowing to the specific local market in which the entrepreneur sells (data on sales and strategies of competitors).
2. Operational information

The entrepreneur may need information on the following:

i. Location and accessibility to customers, suppliers, and distributors.
ii. Manufacturing operations. Basic machine and assembly operations, need for subcontracting.
iii. Raw materials. suppliers' details and costs.
iv. Equipment/machinery. list, cost and whether to purchase or lease.
v. Labor skills. how many personnel of each skill, payment rate and how to obtain.
vi. Space. total amount of space needed and whether to own or lease.
vii. Overhead cost. item needed to support manufacturing such as tools, supplies etc.

3. Financial information

The entrepreneur needs to prepare a budget that includes revenues (from sales and any external funds) and costs (including capital expenditures and direct operating costs). The revenue from sales must be forecast from market data. The accepted method to arrive at necessary cost projections are industry benchmarks and norms based on the industry history and trends.

<u>How do lenders/investors evaluate a business plan?</u>

Lenders like banks are primarily interested in the ability of the new venture to pay back the debt including interest within a designated period. Banks want facts with an objective analysis of the business opportunity and of all the potential risks involved. Typically, lenders focus on the four Cs of credit in the business plan:

1. Character (entrepreneur's credit history).
2. Cash flow (ability of the entrepreneur to meet debt and interest payments).
3. Collateral (tangible assets being secured for the loan).
4. Contribution in equity (the amount of personal equity that the entrepreneur has invested).

Investors, particularly venture capitalists, have different needs since they are giving large sums of capital for ownership (equity) with the expectation of cashing out within five to seven years. Investors focus on the following in a business plan:

1. entrepreneur's background information and character. This is important not only from a financial aspect but also because the venture capitalist play an important role in the actual management of the business. Hence, investors want to make sure that the entrepreneur is compliant and willing to accept this involvement.
2. the market and financial projections during this critical five to seven-year period. This is because these investors demand a high rate of return.

Elements of a business plan

The outline for a (typical/good/solid as per question) business plan is illustrated in the table below.

I. Introductory Page
   A. Name and address of business
   B. Name(s) and address(es) of principal(s)
   C. Nature of business
   D. Statement of financing needed
   E. Statement of confidentiality of report

II. Executive Summary—Two to three pages summarizing the complete business plan

III. Industry Analysis
   A. Future outlook and trends
   B. Analysis of competitors
   C. Market segmentation
   D. Industry and market forecasts

IV. Description of Venture
   A. Product(s)
   B. Service(s)
   C. Size of business
   D. Office equipment and personnel
   E. Background of entrepreneur(s)

V. Production Plan
   A. Manufacturing process (amount subcontracted)
   B. Physical plant
   C. Machinery and equipment
   D. Names of suppliers of raw materials

VI. Operations Plan
   A. Description of company's operation
   B. Flow of orders for goods and/or services
   C. Technology utilization

VII. Marketing Plan
   A. Pricing
   B. Distribution
   C. Promotion
   D. Product forecasts
   E. Controls

VIII. Organizational Plan
   A. Form of ownership
   B. Identification of partners or principal shareholders
   C. Authority of principals
   D. Management team background
   E. Roles and responsibilities of members of organization

IX. Assessment of Risk
   A. Evaluate weakness(es) of business
   B. New technologies
   C. Contingency plans

X. Financial Plan
   A. Assumptions
   B. Pro forma income statement
   C. Cash flow projections
   D. Pro forma balance sheet
   E. Break-even analysis
   F. Sources and applications of funds

XI. Appendix (contains backup material)
   A. Letters
   B. Market research data
   C. Leases or contracts
   D. Price lists from suppliers

Introductory Page

This is the cover page that provides a brief summary of the business plan. It contains the name and address of the company; name of the entrepreneur(s) and their all types of contact details including website addresses; a paragraph describing the company and the nature of the business; the amount of financing needed; and a statement of the confidentiality of the report. Investors consider it important because they can see the amount of investment needed without having to read the entire plan.

Executive Summary

This section of the business plan is prepared after writing the total plan. About two to three pages in length, the executive summary stimulates the interest of the investors. This is a very important section of the business plan since the investor uses the summary to determine if the entire business plan is worth reading. Thus, it should highlight concisely and convincingly, the key points in the business plan.

The executive summary should provide information on the following:

1. The entrepreneur(s) starting the business. For example, if one of the entrepreneurs has been very successful in other start-ups, then this person and his or her background needs to be emphasized.
2. The business concept or model of the venture.
3. Way in which this business concept or model is unique.
4. How and how much money the venture will make.
5. The exit strategy if the venture has a strong growth plan and in five years expects to float an IPO.
6. Any supportive evidence, such as data from marketing research.
7. Contracts in hand (for example with a large customer) should be highlighted.

Environmental and Industry Analysis

It is an assessment to identify uncontrollable external factors that may impact the venture.

The important environmental factors are the following:

1. Economy. Trends in the GNP, unemployment by geography, disposable income etc.
2. Culture. cultural changes due to demographic changes; shifts in attitudes (such as “Buy local”); trends in safety, health, and nutrition, as well as concern for the environment.
3. Technology. potential technological developments determined from actions of major industries or central governments.
4. Legal concerns. legal issues in starting a new venture; any future legislation for example safety or advertising regulation, affecting the packaging, product or service, channel of distribution, price, or marketing.

The industry analysis focuses on specific industry trends. Most important factors are:

1. Industry demand. sales growth forecast (whether the market is growing or declining), the number of new competitors, and possible changes in consumer needs.
2. Industry level Competition. who are the competitors, how is their performance, what are their strengths and weaknesses, so that an effective marketing plan can be made.

3. Specific market. who is the target customer and what is the business environment in the specific market and geographic area where the venture will compete.

Description of Venture

The description of the venture should be detailed overview of the product(s), service(s), and operations of a new venture. This section should contain the following:

1. the mission statement of the company mentioning the nature of the business, reasons for starting the venture, reasons for claims of success.
2. Key elements are the product(s) or service(s), intellectual property status, the location and size of the business (including building requirement, cost of owning or leasing, parking availability, connectivity, access to customers, suppliers, distributors, delivery rates, town regulations), the personnel and office equipment needed including costs, experience of the entrepreneur(s), and the history of the venture.

Production Plan

A production plan is necessary only if the new venture involves manufacturing. It is important to any potential investor for assessing financial needs. The plan should describe the complete manufacturing process as follows:

1. the physical plant layout; the machinery and equipment needed; raw materials and suppliers' names, addresses, and terms; costs of manufacturing; and any future capital equipment needs.
2. If manufacturing is partly or fully subcontracted, then the plan should describe the subcontractor(s), including location, reasons for selection, costs, and completed contracts.

Operations Plan

All businesses, manufacturing or not, should include an operations plan as part of the business plan. It describes the flow of goods and services from production to the customer. It might include the following details:

1. inventory or storage of manufactured or purchased products.
2. operation of inventory control systems.
3. distribution and shipping.
4. steps involved in a business transaction with customer.
5. customer support services and its technological requirements.

Marketing Plan

The marketing plan is an important part of the business plan since it describes strategy to distribute, price, and promote product(s) or service(s). It needs to share with the investors:

1. market research evidence to support marketing strategies and sales forecasts made to project the profitability of the venture.

2. budget and appropriate controls needed for that marketing strategy.

Organizational Plan

The organizational plan is the part of the business plan that details the form of ownership (proprietorship, partnership, or corporation); terms of partnership; names and shares of stocks of board of directors; an organization chart indicating the lines of authority and responsibility of members of new venture. This part of the business plan provides the potential investor with a clear understanding of who controls the organization and how the management will function.

Assessment of Risk

Risk assessment identifies potential hazards and alternative strategies to meet business plan goals. Following details should be included:

1. the potential risks (from a competitor's reaction; weaknesses in the marketing, production, or management team; and new advances in technology that might render the new product obsolete) to the new venture.
2. a discussion of what might happen if these risks become reality.
3. the strategy that will be employed to prevent, minimize, or respond to the risks should they occur.

Financial Plan

The financial plan is an important part of the business plan. It includes key financial data projections that determine economic viability and necessary financial investment commitment. Generally, three financial projections are discussed in this section:

1. the forecasted sales and the expenses (cost of goods sold, the general and administrative expenses) for at least the first three years, with the first year's projections provided monthly. Net profit after taxes can then be projected by estimating income taxes. This is needed for break-even analysis.
2. cash flow figures for at least three years. The first-year projections, however, should be on a monthly basis. Since sales may be irregular, short-term capital borrowing may be needed to meet fixed expenses such as salaries and utilities.
3. Pro forma or projected balance sheet. This shows the financial condition of the business at a specific time. It summarizes the assets of a business, its liabilities (what is owed), the investment of the entrepreneur and any partners, and retained earnings (or cumulative losses).

Appendix

The appendix of the business plan generally contains any back up material not required in the main text of the document.

Sources of competitive advantage/Building competitive advantage

1. Explain why and how a small business must create a competitive advantage in the market.
2. What are the sources of competitive advantage for (a small, a startup) an entrepreneur?

Competitive advantage is anything that sets a small business apart from its competitors, gives it a unique position in the market and makes it superior to its competition. Companies that fail to build competitive advantage fall into imitative or "me-too" strategies that never set them apart from their competitors and do not allow them to become market leaders or to achieve above-average profits. Following are the important sources of comparative advantage for an entrepreneur:

1. Building Intellectual capital. It provides to an entrepreneur, ability to compete effectively. Intellectual capital takes the following three forms:
    a. Human capital consists of the talents, creativity, skills, and abilities of a company's workforce and shows up in the form of innovative strategies and processes, which people in the organization develop.
    b. Structural capital is the accumulated knowledge and experience that a company possesses. It can take many forms, including processes, software, patents, copyrights, and, perhaps most important, the knowledge and experience of the people in the company.
    c. Customer capital is the established customer base, positive reputation, relationships, and goodwill that a company builds up over time with its customers.
2. Product differentiation/uniqueness. The entrepreneur needs to focus on the following five aspects to build their competitive advantage.
    a. Products should be unique in terms of benefits to customers (saving on time, money, energy, environment; reliable, dependable, and convenient).
    b. Provide friendly and valuable customer service (small firms have advantage of being closer to their customers).
    c. Some small businesses differentiate themselves by using lower price. But this strategy lowers profits. Small companies that do not offer the lowest prices must emphasize the value that their products offer.
    d. Companies that offer order, delivery, and other support services for extended hours even 24 by 7 (perhaps through Internet) have another basis for an important competitive advantage.
    e. The most successful companies exist for more than just money making. The entrepreneurs understand that one way to connect with customers and establish a competitive edge is have values of ethical, environmental, and social responsibility.
3. First mover. Advantage. Being the first to enter a market has following advantages:
    a. First movers develop a cost advantage through economies of scale (i.e. reduction in per unit costs) and through movement along the learning curve by improving products and processes.
    b. First movers face less competitive rivalry. Even if competitors enter the growing market, the market share lost to new competitors will be more than compensated for by market growth.
    c. First movers can secure important channels of supply and distribution. This may be an entry barrier and may force new entrants to use inferior suppliers and distribution outlets.
    d. First movers are better positioned to satisfy customers. First movers have the chance to select the most attractive segments of a market; position themselves at the center of the market, thus gaining ability to recognize and adapt to changes in the market; establish their product as the industry standard; build customer loyalties.

   e. First movers gain more expertise in product design, manufacturing, marketing, networking (which provides early information about profitable opportunities) and to monitor changes in market that might be difficult to gain by firms not actually participating in the market.
4. Another important source of competitive advantage lies in the creativity of entrepreneur and his organization. Creativity is an ongoing process and is essential for the survival and growth of a company in an ever-changing technological environment.
5. Protecting product uniqueness through Intellectual property rights in the form of patents, trademarks, copyrights, licensing, noncompetitive secrecy agreements etc. (discussed under the legal issues).
6. Building a competitive advantage alone is not enough. The key to success over time is sustainable competitive advantage. In the long run, a company gains a sustainable competitive advantage by developing a set of **core competencies**. Core competencies are a unique and inimitable set of capabilities (superior product quality, customer service, innovation, team building, flexibility, and responsiveness etc.) that enable it to serve its selected target customers better than its competitors. Compared to larger established companies, small companies’ core competencies originate from the following abilities owing to their smaller size:
   a. Responding quickly to customers’ needs
   b. Providing the precise desired level of customer service
   c. Remaining flexible and willing to change
   d. Constantly searching for new, emerging market segments
   e. Building and defending small market niches
   f. Erecting “switching costs,” the costs a customer incurs by switching to a competitor’s product or service, through personal service and loyalty
   g. Remaining entrepreneurial and willing to take risks and act with lightning speed
   h. constantly innovating

Legal issues

1. Describe the protection of intellectual property through patents, trademarks, and copyrights.

What is Intellectual Property?

Intellectual Property includes patents, trademarks, copyrights, software, Web sites and trade secrets. They are important assets for the entrepreneur.

Need for a Lawyer

Legal regulations may affect the new venture of an entrepreneur. Depending upon the nature of startup (whether new venture is an independent startup, franchise, or a buyout, whether it is exporting or importing, whether it uses some software etc.) and at different stages of the start-up, the entrepreneur will need legal advice to make appropriate decisions.

Since most lawyers have special expertise, the entrepreneur needs to carefully evaluate his or her needs before hiring a lawyer, to save his time and money. In general, the lawyer may work on a retainer basis (stated amount per month or year). This does not include court time or other legal fees. This gives the entrepreneur the opportunity to call a lawyer as the need arises without incurring high hourly visit fees. In some instances, the lawyer may be hired for a one-time fee. For example, a patent lawyer or a real estate lawyer may be paid on a service-performed basis.

A good working relationship with a lawyer is also necessary. This will ease some of the risk in starting a new business and will give the entrepreneur necessary confidence. When resources are very limited, the entrepreneur may offer the lawyer stock in exchange for his or her services. The lawyer then will have a vested interest in the business and will likely provide more personalized services. But this comes at the possible loss of control of the business.

PATENTS

A patent is a contract between the government and an inventor. In exchange for disclosure of the invention, the government grants the inventor exclusive rights regarding the invention for a specified amount of time. At the end of this time, the government discloses the invention and it becomes part of the public domain. The government assumes that this disclosure will stimulate ideas and perhaps the development of an even better product that could replace the original. Basically, the patent gives the owners a negative right because it prevents anyone else from making, using, or selling the defined invention.

1. Utility patents. Most people mean utility patents when they speak of patents. A utility patent has a term of 20 years, beginning on the date of filing with the Patent and Trademark Office (PTO). Obtaining patent requires some filing fee and other fees depending upon the claims made in the patent. A utility patent basically grants the owner protection from anyone else making, using, and/or selling the invention and generally involves protection of new, useful, and unobvious processes such as film developing; machines for example photocopiers; chemical compounds or mixtures of ingredients, and articles of manufacture for example toothpaste pump.

2. Design patents. It covers new, original, ornamental, and unobvious designs for articles of manufacture. A design patent reflects the appearance of an object. These patents are granted for a 14-year term and, like the utility patent, provide the inventor with a negative right excluding other from making, using, or selling an article having the ornamental appearance given in the drawings included in the patent. The fee includes initial filing fee and issuance fees, depending on the size of the item. These fees are much lower than that for a utility patent. Examples are shoe companies such as Reebok and Nike that are interested in obtaining design patents as a means of protecting their ornamental designs.
3. International Patents. With increase in global selling operations, it has become important for companies to seek patent protection in global markets. As a result of the concern over imitations, International Patenting has become a significant IP (intellectual property) strategy for many start-ups. The patents and legal support are provided in a country under the Patent Cooperation Treaty between countries.
4. Business method patents. With the growth of Internet and software, the use of business method patents has emerged. For example, Amazon.com owns a business method patent for the single-clicking feature used by a buyer on its Web site to order products. Priceline.com claims that it holds a patent related to its service where a buyer can submit a price bid for a particular service. Expedia was forced to pay royalties to Priceline.com after being sued for patent infringement by Priceline.com. In the past few years, companies such as Google, IBM, Microsoft, Motorola, Navteq, Qualcomm, and Yahoo have received method patents for systems related to online services using electronic devices such as smartphones and tablets.

The Provisional Application

It is recommended that entrepreneur first file a provisional patent application to establish a date of conception of the invention. Basically, this application gives the entrepreneur the rights to the patent, based on the simple logic of first one to file. In the provisional application, the entrepreneur must prepare a clear and concise description of the invention. In addition to the written material, drawings may be included. Upon receipt of the information, the PTO will file the application on behalf of the inventor. The actual filing of the patent in its final form must occur no later than 12 months after the provisional disclosure document is filed. The provisional application should be filed only after the patent search.

The Patent Application Process

The patent application must contain a complete history, description of the invention and claims for its usefulness. In general, the application will be divided into the following sections:

1. Introduction. This section should contain the background and advantages of the invention and the nature of problems that it solves. It should clearly state how the invention differs from existing offerings.
2. Description of invention. Next the application should contain a brief description of the drawings that accompany it. Following this would be a detailed description of the invention, which may include engineering specifications, materials, components, and so on, that are vital for actual making of the invention.

3. Claims. Claims are the criteria by which any patent infringements will be determined. They serve to specify what the entrepreneur is trying to patent. Essential parts of the invention should be broadly described to prevent others from finding a loop hole around the patent.
4. In addition to the preceding sections, the application should contain a declaration signed by the inventor(s).

The completed application is then sent to the PTO, at which time the status of the invention becomes patent pending. This status is important to the entrepreneur because it now provides complete protection until the application is approved. When patent application is approved, the patent is published and becomes known to the public. A carefully written patent should provide protection and prevent competitors from working around it. However, once granted, it is also an invitation to sue or be sued if there is any infringement.

Patent infringement

Copying and improving on a product may be perfectly legal (no patent infringement) and good business strategy. If it is impossible to copy and improve the product to avoid patent infringement, the entrepreneur may try to license the product from the patent holder.

The entrepreneur can now make use of the Internet for the search process. If there is an existing patent that might involve infringement by the entrepreneur, licensing may be considered. If there is any doubt as to this issue, the entrepreneur should hire a patent lawyer to ensure that there is no possibility of patent infringement. Table 6.1 provides a simple checklist that should be followed by an entrepreneur to minimize any patent risks.

Start-up without a patent

Not all start-ups have a patentable product or concept. In this case, the entrepreneur should understand the competitive environment to understand any advantages that may exist or to identify a unique positioning strategy. With a unique marketing plan, the entrepreneur may find that moving early in the market provides a significant advantage over any competitors. Maintaining this differential advantage will be a challenge but represents an important means of achieving long-term success.

A study in 2008 by four Berkeley faculty has revealed the role of patents for software start-ups. About 33 percent of the participants indicated that a patent was the least important of seven options for achieving a competitive advantage. The researchers found that those seeking patents were under the influence of their venture capitalists. The major reasons for not seeking a patent by many software entrepreneurs were the costs of patenting and the costs associated with enforcing a patent. Among software start-ups, instead of patents, the *first mover advantage was the single most important strategy in achieving a competitive advantage.* This sharply contrasts with biotech firms where patents are ranked the most important factor in attaining a competitive advantage. A more recent analysis of some of this data found that copyrights, trademarks, trade secrets, and reverse engineering ranked above patents as a means of gaining a competitive advantage.

TRADEMARKS

A trademark may be a word, symbol, design, or some combination of such, or it could be a slogan or even a particular sound that identifies the source or sponsorship of certain goods or services. Unlike the patent, a trademark can last indefinitely. The trademark is given an initial 10-year registration with 10-year renewable terms.

The filing date then becomes the first date use of the mark. This does not imply that the entrepreneur cannot file after the mark has already been in use. If this is the case, the entrepreneur may file a sworn statement that the mark is in commercial use, listing the date of first use. It is also possible to file for a trademark if you intend to use this mark in the future. You are allowed to file in with a sworn statement in the application that there is intent to use the trademark. Actual use of the trademark must occur before the PTO will register the mark.

There are many famous trademarks for example, the red tab attached to the left rear pocket identifies Levi jeans, the McDonald's arch is internationally recognized in the fast-food industry, the roar of a lion identifies the motion pictures of Metro-Goldwyn-Mayer, and the apple with a bite missing is well recognized as Apple Computer.

Registering the Trademark

Filing of the trademark registration at PTO must meet four requirements: (1) completion of the written form, (2) a drawing of the mark, (3) five specimens showing actual use of the mark, and (4) the fee. Each trademark must be applied for separately. Registering a trademark offer following benefits to the entrepreneur:

1. It provides notice to everyone that you have exclusive and incontestable rights to the commercial use of the mark throughout the country.
2. It entitles you to sue in court for trademark infringement for the recovery of profits, damages, and costs.
3. It gives the right with customs to prevent import of goods with a similar mark.
4. It provides a basis for filing trademark application in foreign countries.

COPYRIGHTS

A copyright protects original works of authorship. The protection in a copyright does not protect the idea itself, and thus it allows someone else to use the idea or concept in a different manner. Besides computer software, copyrights are desirable for such things as books, articles, poems, songs, sculptures, models, maps, blueprints, printed material on board games, data, and music. The copyright law has become especially relevant because of the tremendous growth of the use of the Internet, especially to illegally download software, music, literary work, pictures, and videos etc. For example, YouTube does not allow the upload of material that has been copyrighted.

Registering procedure for copyright is very simple. To register a work for copyright, the applicant can send a completed application, two copies of the work, and the required filing fees. The term of the copyright is the life of the author plus 70 years. Sometimes several forms of protection can be used by the entrepreneur. For example, the name of a board game may be protected by trademark, the game itself protected by a utility patent, the printed matter or the board protected by a copyright, and the playing pieces covered by a design patent.

TRADE SECRETS AND NONCOMPETITION AGREEMENTS

A Trade secret is the protection against others revealing or disclosing information that could be damaging to business. The entrepreneur may prefer to maintain an idea or process as confidential and to sell or license it as a trade secret. Noncompetitive agreements are documents that are prepared by an employer and signed by an employee, to protect valuable assets like product information to clients, marketing ideas, and unique strategies. The holder of the trade secret has the right to sue any signee who breaches such an agreement.

It is believed these days that the more information shared with the employees, the more effective and creative employees can be. The argument is that employees cannot be creative unless they have a complete understanding of what is going on in the business. Entrepreneurs should consider some of the ideas listed below to control sensitive information.

1. Train employees to refer sensitive questions to one person.
2. Provide escorts for all office visitors.
3. Avoid discussing business in public places.
4. Keep important travel plans secret.
5. Control information that might be presented by employees at conferences or published in journals.
6. Use simple security such as locked file cabinets, passwords on computers, and shredders.
7. Have employees and consultants sign nondisclosure agreements.
8. Debrief departing employees on any confidential information.
9. Avoid faxing and e-mailing any sensitive information.
10. Mark documents confidential when needed.

Protection against leaking of trade secrets is difficult to enforce. Historically, noncompete agreements have not been very successful in courts. The reason is that they are poorly structured and written. Well-written agreements will hold up in court if they are fair to all parties and have a reasonable duration and geographic coverage. Legal action can be taken only after the secret has been revealed. A few points to consider when preparing a noncompetition agreement:

1. Determine if the employee can harm the company if he or she left,
2. hire a competent labor lawyer to make sure the agreement is fair and likely to be enforced,
3. provide incentives for the employee at hiring by offering a bonus for signing a noncompete agreement,
4. specify what is included in the agreement such as client lists, confidential software code, or product information, and
5. consider other options besides a noncompetition agreement such as a non-piracy or nondisclosure of confidential information contract.

LICENSING

Licensing may be defined as a contract between two parties, where one party has proprietary rights over some information, process, or technology protected by a patent, trademark, or copyright. The contract requires the licensee to pay a royalty or some other specified sum to the holder of the proprietary rights (licensor) in return for permission to copy the patent, trademark, or copyright.

Licensing is significant marketing strategy for holders of patents, trademarks, or copyrights to grow their business in new markets, especially when they lack resources or experience in those markets, without the risk and costly start-up investment. To be able to license requires the entrepreneur to have something to license, which is why it is so important to seek protection for any product, information, name, and so on, with a patent, trademark, or copyright. On the other hand, it is also an important marketing strategy for entrepreneurs to start a new venture through copying or incorporating the patent, trademark, or copyrighted ideas. This strategy becomes necessary in markets where revenue has become stagnant.

- A patent license agreement specifies how the licensee would have access to the patent. For example, the licensor may still manufacture the product but give the licensee the rights to market it under their label in a say a foreign market. Or the licensee may manufacture and market the patented product under its own label.
- Licensing a trademark generally involves a franchising agreement. The entrepreneur operates a business using the trademark and agrees to pay a fixed sum for use of the trademark, pay a royalty based on sales volume, buy supplies from the franchisor (examples are Haldirams and Dunkin' Donuts).
- Copyrights are another popular licensed property. They involve rights to use or copy books, software, music, photographs, and plays, to name a few. Computer games have been designed using licenses from arcade games, movies, and TV shows.
- Celebrities will often license the right to use their name, likeness, or image in a product (i.e., Tiger Woods golf clothing, Beyonce Heat perfume or Mickey Mouse lunch boxes). This is actually analogous to a trademark license.
- Licensing has become a revenue boom for many Fortune 500 companies. These firms spend billions of dollars each year on the research and development of new technologies that they will never bring to market. As a result, they will often license patents, trademarks, and other intellectual property to small companies that can profit from them. Microsoft Corporation has entered into more than a thousand licensing agreements that have allowed start-ups, customers, and even competitors to market their technology. Microsoft has also licensed with Hewlett Packard, Dell, and Fujitsu to allow them to utilize Azure cloud-based applications for their customers. These agreements have generated millions of dollars in revenue for Microsoft. IBM also continues to generate significant revenues through licensing. IBM is a leader in the annual number of patents awarded and has License agreements with firms like Twitter, Facebook, and Google.
- Licensing is also popular around special sporting events, such as the Olympics, marathons, and other sports tournaments. Licenses to sell T-shirts, clothing, and other accessories require license agreement before sales are allowed.

Before entering into a licensing agreement, an entrepreneur should consider the following:

1. Will the customer recognize the licensed property?
2. How well does the licensed property complement my products or services?
3. What is the long-term outlook for the licensed property?
4. What kind of protection does the licensing agreement provide?
5. What commitment do I have in terms of payment of royalties, sales quotas, and so on?
6. Are renewal options possible and under what terms?

PRODUCT SAFETY AND LIABILITY

Product safety liability is another important legal issue for the entrepreneur. *This means the responsibility of a company to meet any legal specifications regarding a new product according to the Consumer Production Act.* It is very important for the entrepreneur to assess any such requirements for his product. When a violation is reported, the consumer commission reviews the complaint and if necessary, orders a recall of the product. The manufacturers must then proceed with a recall or face daily fines that can be substantial. Entrepreneurs should be aware of the threats of these recalls. Food and toys especially should be evaluated prior to any business development.

INSURANCE

It is also prudent for the entrepreneur to purchase insurance if problems do occur. Service-related businesses such as day-care centers, amusement parks, and shopping centers have had significant increases in the number of lawsuits. Most firms should consider coverage for damages due to fire, theft, casualty, worker compensation due to injury, life insurance for entrepreneur etc.

The main problem for the new entrepreneur is limited resources in the beginning. Thus, it is important to first determine whether any of these types of insurance are needed. Some insurance, such as disability and vehicle coverage, is required by law and cannot be avoided. Other insurance, such as life insurance of key employees, is not required but may be necessary to protect the financial net worth of the venture. The next decision is as to how much insurance and from what company. The total insurance cost is an important financial component and the entrepreneur needs to consider increasing premiums in his cost projections.

CONTRACTS

The entrepreneur, in starting a new venture, will be involved in several contracts with vendors, landlords, and clients. *A contract is defined as a legally enforceable agreement between two or more parties if certain conditions are met.* The outcomes of breaches of contract are payment for damages by violating party.

Often business deals are concluded with a handshake. Ordering supplies, lining up financing, reaching an agreement with a partner, and so on are common situations in which a handshake consummates the deal. According to Court guidelines, one rule is to never rely on a handshake if the deal cannot be completed within one year. In addition to the one-year rule of thumb, the courts insist that a written contract exist for all transactions over a certain amount. It is helpful for the entrepreneur to understand that before signing a contract he or she should do the following:

1. Understand the terms and conditions in the contract.
2. Cross out anything that you do not agree to.
3. Do not sign if there are blank spaces (these can be crossed out).
4. Make a copy for your files after signing.